

discussion of Willys-Overland Company First 6¹/₂s and Berkey and Gay Furniture Company First 6s in Appendix Note 34.⁴)

Examples of Low-Priced Industrial Bonds Covered by Net Current Assets, 1932*

Name of issue	Due	Low price 1932	Date of balance sheet	Net current assets†	Funded debt at part†	Normal interest coverage	
						Period	Times earned‡
American Seating 6s	1936	17	Sept. 1932	\$ 3,826	\$ 3,056	1924–1930	5.2
Crucible Steel 5s	1940	39	June 1932	16,163	13,250	1924–1930	9.4
McKesson & Robbins 5 ¹ / ₂ s	1950	25	June 1932	42,885	20,848	1925–1930	4.1
Marion Steam Shovel 6s	1947	21	June 1932	4,598	2,417	1922–1930	3.9
National Acme 6s	1942	54	Dec. 1931	4,327	1,963	1922–1930	5.5

* See Appendix Note 43 for a brief discussion of the sequel to these examples first given in the 1934 edition of this work.

† 000 omitted.

‡ Coverage for 1931 charges, adjusted where necessary.

We must distinguish, therefore, between the mere fact that the working capital, as reported, covers the funded debt and the more significant fact that it exceeds the bond issue *many times over*. The former statement is always interesting, but by no means conclusive. If added to other favorable factors, such as a good earnings coverage in normal years and a generally satisfactory qualitative showing, it might make the issue quite attractive but preferably as part of a group-purchase in the field.

Speculative Preferred Stocks. *Stages in Their Price History.* Speculative preferred stocks are more subject than speculative bonds to irrational activity, so that from time to time such preferred shares are overvalued in the market in the same way as common stocks. We thus have three possible stages in the price history of a preferred issue, in each of which the market quotation tends to be out of line with the value:

1. The first stage is that of original issuance, when investors are persuaded to buy the offering at a full investment price not justified by its intrinsic merit.

⁴ Perhaps it should be added that three of the four issues mentioned in this paragraph had spectacular recoveries from the low prices of the depression (e.g., the new Hoe 7s, which were exchanged for the old 7s, sold at 100 in 1937).